Module 6

Transcript of Knowledge Clips

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This document contains the verbatim transcript of all six knowledge clips for Module 6 (Customer Experience Management) as presented on the Toledo e-learning platform. The clips are authored by **Prof. Dr. Tine De Bock**, building on course material developed by Prof. Dr. Yves Van Vaerenbergh.

1. Intro

Duration: 05'31"

1. Intro (05’31’’)

In this module, I will take you on a journey into the world of "customer experience“. This term was briefly discussed in the module on service marketing, but it is so crucial to the field of marketing that we must delve deeper into it. I will begin with some examples.

A first example relates to Kodak. If you're under 30, chances are the Kodak brand might not immediately ring a bell. Even more likely, few people are aware that Kodak developed the first digital camera. When the prototype was created in the 1970s, the camera was as large as a shoebox. Unfortunately, Kodak anticipated that the new digital camera would have a negative impact on sales in other departments. Consequently, the decision was made to sideline the new digital camera as a long-term project and opt for short-term gains. In 2012, the former giant Kodak filed for bankruptcy. And what happened? Nowadays, almost everyone has access to a digital camera.

Here's a second example that I would like to share with you as an introduction. This time, it's about Electronic Arts or EA. EA is an American video game company and a major player in the world of video games, but arguably a victim of its own success. EA released many successful games in the 1990s and the early years of this century. However, in the last decade, the focus shifted more towards profit rather than delivering excellent products. It seemed like EA's strategy was to exploit consumers a bit, for instance, by releasing incomplete games where the consumer would then have to pay an additional amount for certain game options. It's no surprise then that EA was voted the 'Absolute Worst Company in America' twice in just five years. The more EA focused on generating profit, the more consumers turned away from EA and will continue to do so.

Finally, there's the story of the toy giant Toys "R" Us, which had to close its doors after 70 years. The conclusion was harsh: the company failed to keep up with the times. The needs and behavior of consumers significantly changed, but Toys "R" Us struggled to keep pace with these changes. Competing in an era where companies like Amazon are dominant is of course very challenging. However, the lack of innovation and the failure to provide the same easy access and choices as its competitors ultimately forced this toy giant to its knees.

What can we exactly learn from these three examples? In recent decades, many companies have achieved success by implementing a strategy based on operational excellence. Growth has been built on continuous improvement by reducing operational costs and increasing efficiency. Such a strategy focused on operational excellence seems grounded. And yet, there is a significant downside.

Being strongly focused on what's happening within your organization often means turning your back on customers. Operational excellence as a strategy is often not sufficient. Intensely concentrating on the company can lead to losing sight of and not prioritizing the primary reason for a company's existence, which is the customer. While there are advantages to excelling operationally, in the long run, such a scenario is destined to fail if the consumer and their evolving needs and wants are not placed at the forefront. Unfortunately, operational excellence strategies too often result in company cultures that are self-centered, cultures that turn their back on the consumer.

Let's not forget that a customer, especially a satisfied customer, remains the best business strategy. It's crucial to realize that companies don't differentiate themselves by placing a product or technology at the heart of their operations, but rather the customer and their wants and needs. That doesn't mean products and technologies aren't important, but they certainly are not what should be at the core. Today, it's all about customer centricity. Companies exist to offer products, solutions, processes, or approaches designed to maximize positive impact on the customer and, in that way, satisfy the customer.

Customer centricity is thus crucial for success. Put the customer at the heart of your organization. Such customer focus requires delivering excellent customer experiences. In today's reality, every company can and should aspire to provide an exceptionally satisfying customer experience. Operational excellence is one thing, but you cannot bypass customer experience to be successful as an organization. But what exactly is customer experience? How do I manage it as a company? And how can I deliver a good customer experience? Well, that's what this module is all about. In the next part of this module, I will answer the question: What is customer experience?

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2. What is customer experience?

Duration: 17'58"

2. What is customer experience? (17’58’’)

In the previous clip, I mentioned that many companies fail because they heavily focus on operational excellence, often losing sight of the customer. It's often these companies that unjustly neglect customer centricity and, especially, delivering a good customer experience. This brings us to the question: What is customer experience exactly? And is this really a new concept? I will explain that in this video clip.

Customer experience is a topic that pops up very regularly. It shouldn't surprise you that numerous books have been published on this subject.

And also in the job market, you see more and more job openings referring to customer experience. Companies like KPMG, Amazon, and Google now have Chief Customer Experience Officers, Customer Experience Vice Presidents, or Customer Experience Managers responsible for designing, monitoring, and managing customers' experience.

Creating strong customer experiences has become one of the key objectives. Executives across various industries consider improving customer experience as one of their top priorities. Investments in activities related to customer experience management are substantial. For instance, a recent survey of nearly 3000 Chief Marketing Officers in the US indicated that budgets for customer experience management increased by 71% over the last 3 years. The same study also revealed that marketers expect this budget to further increase over the next years. In other words, about 1/5th of the marketing budget will go to customer experience management. And these ideas are not limited to the American business world, but apply to marketing management worldwide.

The increased focus of marketing professionals on improving customer experience has stimulated academics to delve deeper into customer experience management as a research domain. So the academic field is not lagging behind. Numerous scientific articles have been published on this topic.

Why has there been an increasing focus on customer experience? One reason is that customers today interact with a company or brand through numerous channels in various ways. In the past, it was more simple. Customers would visit a physical store and interact with the salesperson. That was mostly it, aside from some large-scale advertising campaigns. Nowadays, there are many more touchpoints. We still go to physical stores, but there are so many other ways we engage with a brand or organization. This interaction doesn't always have to be direct or physical; consider what we read about brands on various social media platforms. This naturally results in more complex customer journeys, a topic we will talk about later in this module. Companies are faced with an increasing level of media and channel fragmentation. Omni-channel management is the new norm. Customer-to-customer interactions via social media bring significant challenges and opportunities for companies. Customer experiences are becoming inherently more social, with peers increasingly influencing the experiences customers have. It’s not so easy for companies since they have less control over these customer experiences and the corresponding customer journeys. Think, for instance, about consumer behavior like showrooming, where customers initially visit a physical store and then go online in search of the specific product, often looking for the best price.

I can imagine that you still wonder what exactly customer experience is. When you ask people that question, you'll get various answers. Some talk about a WOW experience, often referring to services or products that significantly exceed consumer expectations and are, therefore, unforgettable. Others mention contact centers, call centers, or help centers that take care of customer experience. Some find it challenging to provide an answer to that question. Anyway, one thing is certain: there are many misconceptions about what Customer Experience is. There's much more to it than one might think. But let's come to a definition to make sure we are on the same page.

Academics colleagues took their time to define customer experience and changed it every time new research came out. In early 2020, Larissa Becker and Eline Jaakkola developed a new definition based on an extensive review of academic literature. Their work got published in the Journal of the Academy of Marketing Science, one of the most important scientific journals in the marketing domain.

This is the definition that came out of their review: “Customer experience comprises customers’ non-deliberate, spontaneous responses and reactions to offering-related stimuli along the customer journey”. Customer experience encompasses the non-conscious, spontaneous responses of customers to offering-related stimuli during the customer journey or customer experience. Let’s talk about the various components that make up this definition.

Customer experience revolves around a 'response,' a reaction to something. This response can involve cognitive aspects, so what customers think, as well as emotional aspects, so what customers feel. It can also relate to how customers' senses are stimulated, physical reactions they experience, or even something social, in relation to others. Customer experience is, therefore, multidimensional. This already highlights its complexity.

Customer experience is not something that only occurs during direct interactions. Customers can also have an experience with your brand or organization in a more indirect manner. Think about a situation where you talk to others about an organization or brand, read a review, or simply contemplate about a brand or company. This is what is commonly referred to as a 'touchpoint,. Touchpoints revolve around moments where one interacts with a company or brand, both physically and mentally. You probably already sense that, as an organization, it's essential to consider these touchpoints and thus these interaction moments between your organization and your customers.

Customer experience is also subjective and context-bound. Two consumers can have very different customer experiences even when receiving the same treatment from a company. Even the same consumer can have a different experience depending on the context they are in. In general, customer experience depends on customer characteristics, but is also influenced by situational and socio-cultural circumstances. An example of a customer characteristic that can impact the customer experience is a personality trait or the income of a customer. Situational circumstances also determine customer experience, such as the weather or the time pressure a customer feels: Are they in a hurry, or do they have a lot of time? Lastly, how customers perceive their experience with brands or organizations is also influenced by socio-cultural factors, such as societal or cultural norms and values.

When you consider all these components together, you quickly realize how complex customer experience can be and how challenging it is to manage. A customer experience is inherently personal. Only the customer can create a customer experience. A company cannot. So, what can a company do? Well, a company can monitor, design, or manage a wide variety of stimuli, also known as cues or clues, that can influence the customer experience. But again, based on the previous definition, you quickly see why customer experience management is not always straightforward or sometimes even difficult. It's out of your control. The good news is that you can design and manage stimuli that have an impact on customer experience.

There's one term I haven't fully explained yet, and that is the customer journey. What is a customer journey? It's about the customer's perception of the various touchpoints they have with companies or brands, encompassing every moment when the customer directly or indirectly interacts with a company or brand.

This customer journey consists of three phases. Touchpoints are present in three phases, namely the pre-purchase, purchase, and post-purchase phases. Knowing and mastering such a journey is very powerful. It provides marketers with valuable insights into when and how customers interact with their organization. Interestingly, customers often have a better understanding of this than organizations. Why is that? Well, it's because organizations sometimes work too strongly based on departments, each responsible for a part of the journey but never looking beyond their own walls and communicating with each other. Think of IT, HR, logistics, and finance. That's a pity because effectively managing customer experience and thus the customer journey requires intense collaboration across departments or perhaps even breaking down the barriers between departments within a company. Thinking from a customer journey perspective demands collaboration between departments. Only then a good customer experience can emerge.

This was already quite a lot of information. But no worries, later in this module, I present you with some specific examples. Let's now bring all of this together conceptually. A customer journey is something that evolves over time. Throughout this journey, customers interact with brands or organizations through various touchpoints. Each touchpoint involves different stimuli that influence the customer experience. It makes sense for an organization to consider which stimuli create positive experiences and which stimuli may lead to negative experiences.

As a matter of fact, we can actually add an additional layer of complexity.

In recent years, professionals and marketers argue that managing the customer journey is not enough and that customers undergo multiple journeys, often simultaneously. Why is that the case? Well, customers don't undergo such a customer journey just for the sake of it. Such a customer journey is connected to a so-called life journey. They want to achieve something in life: be a good employee, a marathon runner, a good mother, father, friend, or spouse, and so on. In the past, customers were being perceived as if their life goal is simply to buy or to consume.

We really need to let go of this thought and ask ourselves how a company's offerings can contribute to people's life journey, how products and services can support people's lives. Only then, you can you talk about customer centricity. Only then can you truly make a difference.

I think it’s clear by now. Customer experience is complex. Managing the customer experience is also complex. You now know the definition of customer experience. And I also introduced you to the terms customer journey and touchpoints.

Maybe you wonder. Is this all new? Isn’t customer experience simply old wine in new bottles? After all, concepts like customer satisfaction, customer loyalty, the Net Promoter Score, and similar concepts already exist. This suggests a need for a kind of historical perspective and the study of the roots of customer experience in marketing.

That's what Katherine Lemon and Peter Verhoef do in their paper on customer experience and the customer journey. A paper published in The Journal of Marketing. Let's listen to what they have to say about it. I’d like to show you part of a webinar in which they explain this paper, particularly the part where they provide a historical framework for customer experience. Please note it's part of a webinar, so it's not a flashy presentation.

So now, you have a better understanding of the roots of customer experience in marketing. This concludes this clip in which I explained the definition of customer experience and introduced terms like customer journey and touchpoints. Defining customer experience is one thing; it's also crucial for companies to manage this customer experience. So in the next clip, I will talk about customer experience management.

3. Customer experience management

Duration: 12'27"

3. Customer experience management (12’27’’)

Defining customer experience is one thing. Managing it is something else. Organizations need to monitor, design, and manage the stimuli that influence customer experience. Interestingly, organizations no longer seem to have full control. It's the customer who decides whether an experience is negative or positive. This clip will deal with customer experience management.

Customer experience management is one of the most complex strategic challenges that managers face today. It's a long-term commitment. Some view customer experience management as operational, but it's not. It requires a highly comprehensive, long-term effort from the entire organization. Everyone within an organization is responsible for customer experience, even employees or departments that do not directly interact with customers. It demands significant resources and capabilities from organizations. Employees need to develop new skills, and perhaps some current employees may not be well-suited to deliver a good customer experience, asking for a thoughtful approach to recruitment and hiring new colleagues.

Customer Experience Management sounds challenging, but it's also genuinely exciting because it involves the entire organization. Once again, customer experience is not only the responsibility of the marketing department or the customer service department. It requires input from everyone: Sales, HR, operations, logistics, finance, legal, and so on. All these departments and employees impact customer experience.

What do you need for effective customer experience management? Homburg and colleagues conducted a qualitative study with 52 customer experience managers from organizations known for delivering excellent customer experiences. This research indicates that organizations need to create the right mindset internally. Secondly, organizations should establish strategic guidelines for developing and managing customer experience. And finally, the interviewees emphasize that organizations must build the capabilities to keep on innovating customer experiences.

Sounds interesting, but still a bit vague. What do we mean exactly with all this? So let’s take a deep dive into this article by Homburg and colleagues. Let’s discuss in more detail wat it takes from companies to engage in customer experience management. That’s quite a lot.

Let's zoom in on the first key element that organizations need for effective customer experience management, namely...

...developing the right mindset within the organization. Organizations need to cultivate a customer experience orientation. This means that everyone in the organization must be aware that delivering a good customer experience enhances customer loyalty and, consequently, the financial performance of the organization. Everyone in the organization should recognize that it's about striving for customer delight. It also requires carrying a sort of touchpoint orientation, thinking in terms of pre-purchase, purchase, and post-purchase phases. Once again, such a mindset demands departments coming together in alignment with the customer journey. And that right mindset isn't just about what happens within an organization. Such a mindset also requires thinking in terms of alliances. Why is that? Well, if you consider customer experience, it involves touchpoints both inside and outside the organization. How do you manage touchpoints outside the organization? By thinking in terms of alliances. You need to collaborate with other organizations.

Let me illustrate this with an example, something a colleague of mine once experienced. A few years ago, he took a trip to Taiwan. So, he took a flight from Brussels to London, and then from London to Taipei, the capital of Taiwan. Quite a long flight. When he arrives, he of course wants to get off the plane as quickly as possible, grab his suitcase, go to the hotel to take a shower and get some sleep. Unfortunately, when he gets to the baggage carousel, his suitcase is nowhere to be found. You already know what that means. The suitcase got stuck in London and didn't make it all the way to Taipei. The airline informed my colleague that he needed to call back the next day to see if the suitcase had made it to Taipei or not. Seriously frustrated, my colleague took a taxi to the hotel, a 50-kilometer drive. He arrives at the reception, without his luggage. The hotel employee at the reception asks if he had a nice flight. The flight was okay, he says, but the fact that the luggage isn't here is a real bummer. The hotel employee showed understanding, asked about the airline and flight number. The next day, my colleague had to go shopping for some clothes in the streets of Taipei. He returns to the hotel after shopping, and what happened? His suitcase is in his room. The desk clerk had clearly understood that the hotel experience would never be the same without the suitcase. The hotel employee had contacted the airline to check if the suitcase had arrived and sent someone to deliver it to the hotel. This simple service probably costed the employee about two hours but resulted in an unforgettable customer experience for my colleague. The hotel employee understood that the hotel and the flight were part of the same customer journey for my colleague, understanding that the hotel experience would be influenced by the unpleasant experience of not having the suitcase. This is a great example of a good customer experience, and more importantly, a very nice example of why forming alliances is crucial.

So maybe you think: So what? What is in it for the hotel? Well, if you ever travel to Tapei, don’t hesitate to book a room in the Just Sleep Hotel close to the National University of Taiwan. Again, the Just Sleep Hotel in Tapei.

Besides the right mindset, organization also need to develop strategic guidelines to design customer experience. Some people talk about the 4 C’s of customer experience design.

The first C stands for thematic cohesion, cohesion on a thematic level. This means that organizations need a clear brand theme and compelling storytelling that engages customers. Next is the C for consistency. It's crucial to define all elements related to the brand and consistently apply them throughout the customer journey. Customers should feel like they are interacting with your organization and not another one.

Amazon is a good example. Usually, Amazon relies on other logistics organizations for delivering its packages. But a few years ago, Amazon purchased, among others, airplanes and delivery vans as part of the Amazon Prime services. This ensures that the associated customer experience is entirely Amazon-driven.

The third C stands for contextualization. Customer experience is subjective and context-dependent, as I mentioned earlier. This means that organizations need to consider the context when designing customer experiences for their customers. This context should be broadly interpreted, encompassing the individual context of customers, their social context, market context, and even the broader environmental context.

A nice example of taking context into account is found at Lufthansa. In 2014, the German national football team played against the American team during the World Cup. At that time, a Lufthansa plane was flying from Frankfurt to Miami, from Germany to the U.S. All flight attendants had German flags painted on their cheeks. Every five minutes, the pilot provided an update on the status of the football match between the German and American teams. Of course, there are Lufthansa flights from Germany to the U.S. every day, but Lufthansa understood that this day in 2014 was special.

The fourth and final C is about connectivity. Touchpoints need to be connected across moments and channels. When customers provide information at a specific touchpoint, they don't want to repeat it later in the journey. Therefore, companies need to figure out how to obtain information during various touchpoints and ensure that this information is passed from one touchpoint to another in the customer journey.

A nice example of such connectivity is not necessarily very complicated. Imagine a situation in which a real estate agent is showing a couple a house they might want to buy. At some point, the couple notices a bouquet of roses from the current owners and expresses their love for roses to the agent. After this visit, the couple decides to make an offer on the house, and the offer gets accepted. When they eventually move into the house, the real estate agent has a bouquet of roses delivered for the new owners.

These 4 C’s can be really powerful, but they also require quite some effort from organizations. To get customer experience design right, you need the input from a lot of departments such as marketing, IT, sales and logistics. This is quite a challenge.

Organizations thus need to develop new capabilities to ensure that they can keep on innovating the customer experience and cater well to specific consumers with their unique contexts. This brings us to the bottom circle of this figure.

Homburg and colleagues discuss four capabilities. First, organizations need to develop the capacity to create touchpoints and even entire customer journeys. They must become familiar with customer journey mapping and related practices. Second, organizations must be able to prioritize touchpoints based on specific contexts or situations. They need to realize that not every touchpoint is equally important and understand which touchpoints should take precedence to deliver the best experience to customers. Not every customer is equally important. Some customers create more value for the organization than others. This means the organization must be flexible and able to shift financial and human resources quickly based on customers and touchpoints that deserve the most attention. Third, organizations need to carefully monitor customer experience. Only customers can determine whether an experience is negative or positive, making customer feedback crucial. Make sure the customer's voice is taken into account. Without hearing that voice, it's nearly impossible to excel at customer experience management. Fortunately, there are many ways to gather customer insights, sometimes making it challenging to determine which approach is valuable. Finally, organizations must develop the capacity to continuously adapt and improve touchpoints. Using insights derived from touchpoint monitoring, organizations should continually enhance the customer journey, no matter how small the adjustments may be. Often, organizations achieve better results by making small improvements every day rather than striving for one significant improvement now and then.

I presume that, based on this clip, it has become clear that managing customer experience is challenging and complex. With this video, you now have a better understanding of what customer experience management entails and what companies need to do it effectively. Now that you have more theoretical understanding, it seems like a good idea to present you with two cases. The next clip will deal with a first example, namely The Hello Kitty Jet. See you in a bit!

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4. Case 1: The Hello Kitty Jet

Duration: 06'59"

4. Case 1: The Hello Kitty Jet (06’59’’)

Time to discuss a case that brings the theory alive.

It all starts in 2005 when Sanrio, the owner of Hello Kitty, enters into a licensing agreement with Eva Air. Eva Air is granted permission to use the Hello Kitty image throughout its offerings. Eva Air has already incorporated the Hello Kitty image on their airplanes.

The idea was to make flying a bit more fun. We're talking about 2005. Many other players followed later.

For example, there was All Nippon Airways, a Japanese airline, that got inspired by Star Wars.

Or think about Brussels Airlines inspired by the work and life of Magritte, a Belgian surrealist painter.

But Eva Air did something exceptional; they went the extra mile. They didn't just use Hello Kitty to brighten up the exterior of an airplane. No, they applied it throughout the entire customer journey. Let's take a moment to see how a trip with the Hello Kitty Jet looks like.

You arrive at the Taipei International Airport, the home base of Eva Air. Almost the first thing you see is this information kiosk. Yes indeed, it doesn't get much more Hello Kitty than this.

Just imagine it. All that pink when you arrive at Taipei International Airport. Without any doubt, it catches your eye. It grabs attention, it creates awareness. Not uninteresting from a business perspective.

This photo gives you an idea of the self-check-in. Again, lots of Hello Kitty, lots of pink. Anyway, this is really a thoughtful way to apply the Hello Kitty concept.

And it doesn't stop there. All the tickets and labels handed to you are also fully themed in Hello Kitty. These tickets and labels are all part of your journey with The Hello Kitty Jet.

Is there more to it? Well, of course!

On the plane, there are Hello Kitty pillows.

And drinks? They are served in Hello Kitty cups and mugs. Take a good look at the sugar too. Indeed, Hello Kitty as well. Whether you're a fan or not, that doesn't matter right now. I mean, what's happening here is the delivery of a consistent experience, consistency throughout the entire customer journey associated with the Hello Kitty Jet.

Look at this. Indeed, Hello Kitty Food. It's clearly all about the details here. Just look at how the melon is served. Again, a lot of consistency in a journey with The Hello Kitty Jet.

And, of course, the toilet paper on board can't be left behind. An important lesson this example teaches us is that managing customer experience is about totality, about the overall experience. And that details matter. It's about everything you do before the purchase, during the purchase, and after the purchase. Or in service terms, everything before, during, and after the service.

But what after the service? An online community is created where people who take the Hello Kitty Jet can share their experiences and stories. Even in the post-service phase, the theme is consistently applied, as you can see.

People love all of this. They write down their experiences and recommend the Hello Kitty Jet to other travelers, for example, via TripAdvisor. People show interest in this flight. Imagine if you could choose between a regular flight and a Hello Kitty flight. Which one would you prefer? Given that the price is the same, and that is actually the case, more people will be inclined to take the Hello Kitty Jet. Because, whether you like Hello Kitty or not, it delivers an additional experience that you can't have with a regular flight.

Can a small Japanese cat ensure that seats are filled on an airplane? Based on this successful collaboration between EVA Air and Hello Kitty, the answer is yes. It all started in 2005 with one plane. Meanwhile, Eva Air has multiple planes offering a complete Hello Kitty experience. It has been and continues to be a great success for Eva Air. They made a difference by applying customer experience management to their offerings.

Airlines worldwide are now collaborating with well-known brands to create a more emotional and deeper connection with their passengers. This is particularly evident in the realm of food & beverage, where brand products - ranging from colorful chips to Kentucky Fried Chicken - attempt to win over passengers on board. Through brand experiences, airlines can distinguish themselves from their competitors and make it clear to their passengers that they value them. By leveraging the existing connections passengers have with certain brands, airlines can create a "branding love triangle" between themselves, the brands they partner with, and passengers.

Another advantage of such experiences is the extensive media attention, especially on social media. As soon as the Hello Kitty Jet visits a new destination, like in this case Houston, a considerable amount of media coverage is generated. And when you're at an airport, perhaps waiting for your connection, it immediately catches your attention when the Hello Kitty Jet arrives or passes by. Quite likely take you will take a picture and share it with friends or family, creating a tremendous amount of buzz. This article alone has been shared over 10,000 times. That's quite significant for a simple news article.

I have a video ready for you in which all this information and examples come to life a bit more. Immerse yourself in a flight with the Hello Kitty Jet.

Try to put everything into perspective. Perhaps you're not a fan of Hello Kitty, but in many Asian countries, they have a different idea about this. I experienced this myself a few years ago when I traveled through Japan and spotted numerous Hello Kitty trains.

What can we conclude from all of this? Managing customer experience is a significant asset for organizations. Organizations can benefit from it. Consider the buzz you create, the media attention you receive, and, of course, the better sales figures. However, as an organization, you need to carefully consider what actions to take in the three phases of the customer journey. And finally, it really comes down to the details. Eva Air didn't just place a Hello Kitty figure on their plane. They applied this idea throughout all aspects of the customer journey, creating an incredibly unique Hello Kitty Jet experience.

This was one case I wanted to share with you. In the next clip, I have another example for you.

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5. Case 2: Tomorrowland

Duration: 04'47"

5. Case 2: Tomorrowland (04’47’’)

It all started with a small-scale event in 2005, but soon Tomorrowland became the best dance festival in the world. People from all over the world came to Boom, a town in the Belgian province of Antwerp with about 18,000 people living there. Tickets sell out in no time. If you're not quite sure what I'm talking about, I have a short clip for you based on the 2018 after movie.

Tomorrowland has truly set the standard for all other dance festivals. But what is it that makes Tomorrowland stand out? That has to do with their unwavering focus on customer experience throughout the entire customer journey. Tomorrowland excels at managing the pre-purchase, purchase, and post-purchase phases of the customer journey. Let's take a closer look at what they do.

The Tomorrowland journey starts long before the actual festival. A regular dance festival will kindly ask you to print and bring your tickets to the festival. Tomorrowland, however, does things a bit differently. You receive a wristband instead of a ticket, presented in a beautiful, somewhat magical box. The interesting part is that you can load money onto this wristband, so there is no longer the need to bring your wallet to the festival area. The wristband is also linked to an app that, among other fun features, allows you to check how much money you have left.

Another touchpoint relates to the trip to the festival. Let’s have a look at how this trip looks like.

So, Tomorrowland ensures that the journey to the festival is also well managed. You just saw that in the clip. People already get the Tomorrowland experience before actually stepping on the festival ground. Stewards are fully dressed in Tomorrowland style. The onboard food is prepared by top chefs. Each flight has its own top DJ. Tomorrowland excels in managing the pre-purchase phase of the customer journey. All of this, of course, adds something extra to the Tomorrowland experience and ensures that Tomorrowland can clearly distinguish itself from the competition.

Once you arrive at the festival, you immediately notice the fantastic stages as well as the high-quality meals, sometimes prepared by Michelin chefs. And, to top it all off, you get to experience world's best DJs.

When the party is over, you can relive the precious and beautiful Tomorrowland moments. Tomorrowland posts many DJ sets and after movies online, including on YouTube. "One World Radio" was established, a channel to celebrate Tomorrowland's 15th anniversary. These are all initiatives that Tomorrowland sets up in the post-purchase phase of the customer journey.

In the previous clip, we talked about the Hello Kitty Jet from Eva Air. Tomorrowland is another example of an organization that truly benefits from successfully managing the customer experience.

6. Customer journey mapping

Duration: 12'35"

6. Customer journey mapping (12’35’’)

It is clear by now, understanding and managing the customer journey is a crucial part of Customer Experience Management. In this clip, I will tell you a bit more about what customer journey mapping is, why it is interesting to engage in such mapping, and how to get started with this job. At the end of this clip, I will also briefly outline two examples of customer journey mapping.

What is a customer journey map? It is a structured way to understand customer experience at each stage of the journey. It is also a visual representation of how customers interact with an organization, considering various channels and touchpoints. All of this provides more insight into what organizations can do to enhance the customer experience. Typically, organizations develop a customer journey map for a specific process, such as planning a trip to a particular destination. Such maps are an ideal tool to make organizations more customer-oriented. Regardless of how you look at it, a customer journey map reveals when and with which departments the customer interacts. The result is that everyone in the organization knows his or her role in the customer journey.

There are several benefits to customer journey mapping. For instance, such maps help visualize the changes an organization needs to make and identify dependencies for delivering experiences, both upstream and downstream. Creating a customer journey map also allows you to track changes in customer experience and identify different experiences for various segments. When an organization employs such a tool, it means communicating about the customer within the organization. And importantly, data and information, often scattered throughout the organization, are aggregated in one place.

You're probably wondering by now: How do you get started with such a customer journey map?

On the worldwide web, you can find numerous different frameworks that can really guide you in tackling this. The terms that are being used might be different, but you don't need to worry too much about that. There's no standard procedure, so I'd like to tell you about a kind of common denominator and thus an approach that we can observe in many customer journey maps.

First and foremost, you need to identify all touchpoints. Ensure that you adopt a sufficiently broad perspective here. When does the journey start? Identify all the steps in this journey In other words, determine when the customer interacts with your organization. Again, that interaction can be both direct and indirect. When does the customer journey end? That's somewhat 'tricky'. Suppose someone experienced Tomorrowland and talks about it 50 years later when their grandchildren are visiting. Is this moment still part of that person's customer journey? The advice is to choose an endpoint within a reasonable timeframe. In the next step...

...you focus on the customer needs. Why did a customer start their journey? What is their goal? What is their goal in a specific touchpoint? Consider the expectations customers have. What does a customer expect from each interaction? Customer expectations can be very powerful. Therefore, these expectations should really be part of the exercise when you're doing customer journey mapping. After you've captured these customer needs...

...you focus on the solutions offered by your organization. What does your organization do to ensure that it meets the needs and wants of customers? This can obviously take the form of a product or service, but it could just as easily revolve around providing information or something else. In a third line, it's about...

....customer experience. For many organizations, the key here is to map customers' emotions. What does a customer feel during the various touchpoints? Organizations often differentiate between positive and negative emotions. Finally, it's important to...

...bring attention to the problems or bottlenecks. Where does it go wrong? What should we address to resolve these issues? Too often, customer journey maps are created just for the sake of having them, similar to SWOT analyses. People do it to tick a box, but then they don't actually use it. Customer journey maps are tools meant to help you identify issues in the journey and encourage you to genuinely address these problems.

The previous slides provide you with a good understanding of the basic concept of a customer journey map. In the following slides, I'll make this idea a bit more specific so that customer orientation comes even more to the forefront.

This brings us to this. Don't worry, I'll guide you through all this step by step.

You need to start with identifying all touchpoints.

Also, you need to identify the channels through which a customer comes into contact during these touchpoints.

Next, we aim to further delve into the customer experience. As discussed earlier in this module, customer experience is multidimensional. It involves customers' cognitive, affective, physical, sensory, and social responses to specific stimuli. These are also referred to as clues or cues.

A cognitive experience revolves around the needs and expectations of customers. You really need to explicitly list those. Of course, that requires some effort and therefore time.

There is not only the cognitive element but also the affective, emotional experience of customers. Most organizations keep it relatively simple by focusing on the valence of emotions, distinguishing between positive and negative emotions. However, it's worthwhile to approach emotions more comprehensively and focus on specific emotions that go beyond the positive or negative label. For example, research shows that 'gratitude' is a powerful emotion in the relationship between businesses and customers. Surprisingly, though, this emotion is often not considered or tracked by organizations.

There is also the physical experience. This relates to how the customer behaves but also the sensations the customer experiences. When you visit Tomorrowland, for instance, it truly has an impact on your body. Your heartbeat increases, and you get a warm feeling inside.

The sensory experience is also important. When customers interact with businesses, all their senses are engaged. Just think of a visit to a supermarket where they've just baked a fresh batch of bread. You notice it instantly. It's essential to understand and incorporate these aspects into the customer journey map.

Lastly, we must not forget that customers are social beings, and thus, the social experience is also a part of customer experience and the customer journey. Research indicates that the social bond between customers and employees of a company has a strong impact on customer loyalty. So, how and when customers connect with employees is something to take into consideration. Earlier in this course, we discussed technology in the marketing domain. Research suggests that people can also have a social bond with technologies. Therefore, remember that this exercise and this part of the customer journey map are not limited to human interactions.

The information gathered through an exercise like this helps companies identify opportunities for improvement. And that is, of course, a crucial objective of such a customer journey map.

Finally, I would like to add that it is important to consider which touchpoints are real 'moments of truth' and which are not. As an organization, it is impossible to implement all improvements at once. Therefore, you must determine which touchpoints are key moments for customers and which are not. This allows you to prioritize the improvements that need to be made.

You may have already noticed this, but everything is phrased in the form of "the customer needs”, "the customer uses...”, "the customer feels"... When you phrase things this way, you ensure that organizations engaging in a customer journey map truly take the customer's perspective. Too often, companies adopt their own perspective, but that hinders a successful customer journey map.

On the previous slides, customer journey mapping was explained in much more detail. Let’s now take a look at two examples of customer journey mapping.

Here is an example from the Dutch railway company. Plenty of post-its, but more importantly, these post-its represent various touchpoints such as the website, bike storage, the station, ticket machines, the train, fellow passengers, and the train conductor. The customer starts their journey, which consists of different touchpoints. The image created by this company provides a clear picture of all interactions and their corresponding touchpoints. A customer might be happy when planning a trip, for example, through the company's website. That happiness can quickly turn into dissatisfaction when there is no space to securely leave the bike in the station. Then there's the train station. There, the customer might be dissatisfied if the train is delayed. Fellow passengers, on the other hand, could be a positive experience if they are quiet during the train ride. And so, the customer goes through a journey, potentially feeling satisfied when reaching the final destination.

This is a simple customer journey and its corresponding journey map, yet it provides a lot of insights into what the company can do to improve its service. In any case, this example already illustrates that you can extract a lot of information from scrutinizing a journey.

Here is the second example, from Virgin Media. As you can see, they've put a lot of effort into using post-its. It's not my intention to discuss this in detail. I mainly want to present this example to emphasize that you can unleash all your creativity when mapping. Here, for instance, the map has taken the shape of an infinity sign because Virgin Media aims to commit to an infinite relationship with its customers. There isn't a single way to do customer journey mapping. Just ensure that the exercise includes sufficient information and detail.

I want to conclude this clip by emphasizing once again that customer journey mapping is a powerful tool for gaining insights into customer experience. It is crucial to obtain a clear understanding of the various touchpoints through which customers interact with an organization, both physically and mentally, and to understand the emotions and behaviors involved. These insights help organizations identify where there is room for improvement. The information provided by a customer journey map can be truly surprising. For example, colleagues at Ghent University created a customer journey map for a Belgian hospital, specifically for the treatment of a particular cancer. Their analysis revealed that there were 26 ways to undergo this cancer treatment. You can probably imagine that the hospital was grateful for this analysis, enabling them to streamline their processes more effectively. Customer journey maps are gaining importance in the business world. They are incredibly informative. It’s quite likely that you will encounter one or may even have to create one yourself.